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UNIT VI BUSINESS FINANCE

CHAPTER 19

SOURCES OF BUSINESS FINANCE

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குன்றேறி யானைப்போர் கண்டற்றால் தன்கைத்தொன்று
உண்டாகச் செய்வான் வினை. -குறள் 758

Couplet:

An undertaking of one who has wealth in one's hands is like viewing an elephant-fight from a hill-top.

Learning Objectives

To enable the students to

i. explain the meaning, nature and significance of business finance
ii. explain the need for business finance
iii. classify the various sources of business finance
iv. understand the importance of savings and investments



Introduction

The previous chapter highlighted the importance of insurance. The present chapter enlightens the students on the concept of Business Finance. Need for the Business Finance, sources of funds and the importance of savings and personal investment avenues, are briefly discussed in this chapter.

"Finance is the lifeblood of any business." No business enterprise can function without finance. Business enterprises need finance for fixed and working capital requirement. Fixed capital requirements include purchase of plant, machinery, furniture, fixtures, vehicles, and so on, while working capital requirements include purchase of raw materials, payment of salary and wages, incurring operating expenses like telephone bills, carriage inward and outward, electricity charges, premium, stationery, etc. Owner or promoter has to estimate the business finance and accordingly look for various sources for financing the operations of the enterprises. The term sources of funds denote the various avenues of mobilisation